1. Purpose

Partners who provide this 24x7 cloud-operations management activity will become eligible for a Partner Earned Credit (PEC) for services managed on the customers' Azure estate governed and controlled by the partner.

By default, in CSP, partners are granted the necessary access rights to the customer's subscription allowing them to perform operational management and control of the resources on the subscription.

IMPORTANT: Customers have the option to remove any access given to the partners. Partners should not coerce customers to assign them appropriate access for the sole purpose of earning partner earned credit from Microsoft - failure to adhere to this requirement might make the partner ineligible to earn partner earned credit.

2. Partner Earned Credit

2.1. Eligibility

In order to earn PEC, the following requirements must be met. If they are not met, Microsoft will bill at MSRP.

- Maintain an active MPN agreement
- Have valid role-based access control (RBAC) roles to manage the Azure assets
- Maintain 24x7 operational and management control of the customer's Azure resources

Note: PEC does not apply to reservations, savings plans, marketplace items, and spot virtual machines – See Appendix A.

PEC isn't applicable to:

- Azure plan reservations
- Products identified as non-Microsoft or *Third Party* in the `Tags` column of the Azure plan consumption price list
- Products in the Marketplace price list
- Azure Spot Virtual Machines
- Azure savings plans
- Any overage charges for telco products

Note: PEC is earned down to the resource level. If you have valid access at either the subscription or resource group level, each resource that rolls up to the higher entity will earn PEC.

Note: PEC only applies to Azure Plan services with consumption pricing.

IMPORTANT: PEC is calculated daily and the access must be maintained for the entire day to receive PEC for that day. If PEC is lost, the reseller will lose PEC for at least 24 hours.

2.2. Required Access

Microsoft provides PEC to direct/indirect providers who manage the end user environment. This requires the ability to support the customer; therefore, the partner needs access to the environment.

- TD SYNNEX must have appropriate access in order to earn PEC.
- Admin on Behalf Of (AOBO)

Note: GDAP may be removed after the foreign principal (AOBO) is established; however, this will severely limit the support we can provide. As long as the foreign principal is on the subscription, PEC will be earned.

- Appropriate RBAC Role. See Roles, permissions for partner earned credit
- By default, the CSP Provider has Owner permissions to the subscription.
- Reducing the role to contributor will still provide the ability to perform most tasks required to manage the environment thus earning PEC. The reader role does not provide the required permissions and does not earn PEC.
- The bare minimum role to earn PEC is Support Request Contributor. This will allow TD SYNNEX to open support request with Microsoft and still earn PEC. TD SYNNEX will not be able to provide any other support with this role.

  Note: The CSP Provider is the only entity that may open support requests with Microsoft. Removing this role will delay support.
- There are other roles that can earn PEC. Review the following document for a complete list: Roles, permissions for partner earned credit

2.3. Other

- PEC may be earned by using Lighthouse; however, the implementation of Lighthouse is outside the scope of this document.
- PEC may be earned by the CSP Indirect Reseller maintaining access; however, additional requirements apply.

3. Example Calculations

- All direct/indirect may earn 15% credit (PEC) from Microsoft on qualifying products by meeting our support obligations.
- The reseller is given a "discount" from TD SYNNEX. We use a 10% "discount" to the reseller in this example.
- Since some products are eligible and some products are not eligible, TD SYNNEX calculates the "discount" as a markup over the price invoiced by Microsoft. In this case, 15% - 10% = 5% markup.

PEC Eligible	
MSRP Price:	$100.00
TD SYNNEX Invoiced by Microsoft	$85.00
Reseller Invoiced by TD SYNNEX:	$89.25

PEC Ineligible	
MSRP Price:	$100.00
TD SYNNEX Invoiced by Microsoft	$100.00
Reseller Invoiced by TD SYNNEX:	$105.00

- Since TD SYNNEX marks up from what Microsoft invoices, if PEC is lost due to removal of the TD SYNNEX access, the reseller would be invoiced for all Azure services at a price higher than MSRP.

- Microsoft and TD SYNNEX do not provide credit for lost PEC.

4. Establishing AOBO

For instructions on how to establish AOBO, see the document “Tech Note – Add AOBO to Subscription for TDS”

5. Associated Documents

- Partner Earned Credit Overview
- Partner Earned Credit Calculation
- Partner Earned Credit - Permissions

6. Document Approval

This document has been approved by:

- Manager, Cloud Sales Engineering

7. Document Revision History

Number	***Effective Date***	***Revision History***	***Author***
1.0	1/9/2022	Initial Draft	David Bloom
1.1	5/23/2022	Updated branding to TD Synnex	David Bloom
2.0	11/9/2023	Removed AOBO instructions	David Bloom
3.0	11/11/2024	Added example calculations	David Bloom
4.0	6/12/2026	Added Appendix A	David Bloom

8. Appendix A – Ineligible Offers

Microsoft does not offer PEC on all offers.

8.1. Reservations

Azure plan reservations do not earn Partner Earned Credit because they represent a prepaid financial commitment rather than ongoing consumption. The customer agrees to a one or three year term and receives a discounted rate upfront. This pricing model reduces the available margin at the time of purchase, leaving no remaining margin to support partner incentives. For example, if a customer prepays for a three year virtual machine reservation, the cost savings are embedded in the reservation price itself, and there is no incremental metered usage margin from which PEC can be calculated.

8.2. Savings Plans

Azure savings plans do not earn PEC because they are commitment based pricing constructs that replace standard pay as you go rates with a lower fixed cost model. The customer commits to a defined hourly spend, and Azure applies discounted pricing automatically against eligible usage. This structure shifts value into the pricing mechanism itself rather than into metered consumption. For example, if a customer commits to a fixed hourly compute spend, the savings are realized through reduced rates, not through incremental usage margin that could support PEC.

8.3. Third-Party Products

Non-Microsoft or third-party products listed in the Tags column of the Azure plan consumption price list do not earn PEC because Microsoft does not control the pricing or margin structure for these services. These products are owned and priced by external vendors, and Microsoft acts only as the billing platform. For example, if a customer deploys a third-party network appliance through Azure, the underlying economics are tied to the vendor, not Microsoft. Since PEC is a Microsoft funded incentive, it is not applied to services where Microsoft does not own the margin.

8.4. Marketplace Offers

Products in the Microsoft Marketplace price list follow a similar model to third-part products, where revenue is shared with the publisher. In these cases, Microsoft facilitates the transaction but must allocate a portion of the revenue to the solution provider. This shared revenue model limits the margin retained by Microsoft and eliminates the ability to fund PEC. For example, when a customer purchases a SaaS security solution from Marketplace, the revenue is split between Microsoft and the publisher, leaving no consistent margin available for partner incentives. Marketplace providers may offer discounts off list which flow through to customers.

8.5. Spot Virtual Machines

Azure Spot virtual machines do not earn PEC because their pricing already includes deep discounts in exchange for using surplus capacity with no availability guarantees. These workloads are inherently variable and can be evicted at any time. The aggressive pricing model absorbs the margin that would otherwise support PEC. For example, if a customer runs batch workloads on Spot VMs at a significantly reduced rate, that discount represents the full economic benefit, leaving no additional margin for partner credits.

8.6. Telco Overage Charges

Telco overage charges do not earn PEC because they are tied to external carrier costs and regulated pricing models that fall outside standard Azure consumption economics. These charges often reflect pass-through costs with limited or no margin retained by Microsoft. For example, if a customer exceeds included messaging or voice usage and incurs overage charges, those fees are based on carrier rates. Since Microsoft does not control the underlying cost structure, there is no margin available to allocate toward partner incentives.